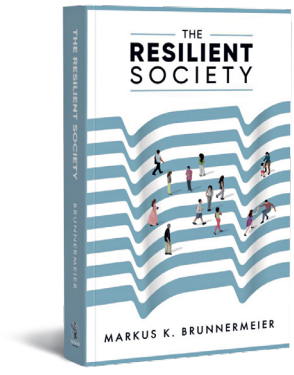
BOOKS

Building Resilience

By Rajiv Sethi



THE RESILIENT SOCIETY
by Markus K. Brunnermeier
HARPERCOLLINS INDIA
₹499; 428 pages

The devastating spread of the novel coronavirus has had dramatic effects on economic and social life. It has also had an impact on the direction of scientific research. In this wide-ranging book, Markus Brunnermeier argues that the discipline of economics should pay closer attention to the concept of resilience, defined as the capacity of a system to rebound quickly "like a trampoline" from large and unexpected adverse shocks.

In a resilient society, argues Brunnermeier, we can "take more chances and embrace more opportunities—because the shocks will be less detrimental." Several existing institutions—such as bankruptcy protection for individuals and limited liability for corporations—are designed with precisely this reasoning in mind. Brunnermeier would like us to go beyond such standard protections. He wants our infrastructure, production systems, financial architecture, and social safety nets built "with redundancies, buffer stocks, duplications... and added capacities," even when this requires some loss of efficiency or profitability. For instance, firms currently source critical inputs—such as semiconductors for the production of motor vehicles—from the lowest cost producers globally, and schedule deliveries based on a "just in time" principle. An unanticipated interruption in supply can then cause an entire industry to be severely disrupted. Brunnermeier argues for a "just in case" approach instead, which involves holding redundant buffer stocks and sourcing from a diverse array of suppliers, even if this is costlier under ordinary economic conditions.

But how might households and firms be induced to take actions that they would otherwise prefer not to take, in order that the system as a whole becomes more resilient? Here the book provides few concrete answers, other than to recognise that the solution involves both markets and government, and that such coordination is best achieved when "society is fair and... inequalities are kept in check." In the author's own words, the book is an "interim synthesis", so the absence of specific policy proposals is understandable. But it would have been worth considering, for example, whether government bailouts of systemically important firms in finance and manufacturing enhance or erode resilience, and whether policies such as a universal basic income or individual accounts at central banks could better protect households in the face of a crisis.

Much of the book deals with pandemic-related policies. Brunnermeier points out that the costs of a general lockdown were extremely large, amounting to about $80 billion per week in the US alone. In addition, it has become apparent that the closure of schools has led to significant learning loss, while exacerbating existing inequalities. Were there better alternatives available? He argues that a targeted lockdown, coupled with a large-scale testing programme to identify infectious individuals, would have achieved better outcomes at substantially lower cost. This is consistent with the *Roadmap to Pandemic Resilience* published by the Safra Center at Harvard University in the early stages of the pandemic.

One quibble I have with the book is that it neglects to mention relevant prior work. The most glaring omission is of Hyman Minsky, who devoted much of his professional life to the study of economic resilience. Minsky argued, paradoxically, that stability itself was destabilising, since it allowed those with the smallest margins of safety to prosper. Not only does Minsky's work speak to the main issues with which this book is concerned, it goes further in developing an ecological understanding of financial practices, and in formulating concrete proposals for action. Yet Minsky is mentioned just once, and in passing.

That said, this is an important book. Its relevance can be appreciated by considering the case of Sri Lanka, which managed to weather a protracted civil war, a global financial crisis, and the coronavirus pandemic, without once defaulting on its foreign debt. Then, in April 2022, the country failed to make a scheduled payment to its creditors, and is now formally in default for the first time in its history. The war in Ukraine is affecting food security worldwide, and these effects are being compounded by climate change. India, the world's second largest producer of wheat, has suspended most exports of the grain in the face of a punishing heat wave and fears of a decline in yields. Our vulnerabilities to large shocks, both anticipated and unimagined, are more apparent than ever. Brunnermeier's case that we need to better understand and build resilience is accordingly correct, convincing, and timely. ■

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